1986. Industrial undertakings were allowed to switch over their assembly lines from one product to another in the same industry group. Automatic regularization of capacity increase was permitted for higher limits. MRTP permissions were done away with for several industries as were distribution controls over a number of industries.

The 1980 Industrial Policy Resolution opened the door for private sector-led industrialization of India. Additional measures taken during the 1980s strengthened the private industrial sector. India delivered a satisfactory industrial performance in the 1980s. The manufacturing growth was over 7 per cent from 1980 to 1990. Share of manufacturing in GDP grew from a little less than 14 per cent to about 17 per cent in 1990. Exports grew handsomely in the second half of the 1980s, recording a growth rate of over 14 per cent.

## *Industrial Policy 1.0 Delivered Anaemic Growth*

India grew poorly in the 1950–1980 period, with the GDP rising by hardly 3 per cent to 3.5 per cent annually on average. Many Asian countries, such as Japan, South Korea, Singapore and Taiwan, and later other South Asian countries like Malaysia and Thailand raced ahead to generate much higher growth during this period.

Indian industry put on an equally disappointing show despite considerable investment by the government. Growth rates of the secondary sector plummeted, most particularly in the 1965–66 to 1974–75 period, when the licence permit raj was at its peak and investments in public-sector investment had slowed down considerably. During this ten-year period, except for two years (1969–70: 5.1 per cent and 1969–70: 7.8 per cent), the secondary sector grew only at sub-4 per cent rates. Manufacturing growth rate averaged only about 5 per cent during the thirty years from 1950 to 1980.